Language Modelling for Economics

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Overview

Recent advances in artificial intelligence are reshaping both the economy and the empirical toolkit available to economists. Machine learning, natural language processing, and generative AI expand the range of what economists can measure and enable new research designs. This two-session course introduces language modelling for economic research: from representing text as data, through embeddings and transformer models, to using large language models and AI agents in the research workflow. Each session combines lecture and hands-on work.

Preparation

1. Bring a laptop suitable for coding.
2. Have access to at least one capable AI service (e.g., ChatGPT Plus or Claude Pro, or an institutional equivalent).
3. If possible, install a coding agent (Codex and/or Claude Code), Git, and a working Python/Jupyter environment.

Session 1: Thursday 19 November, 14:00–18:00

From text to embeddings

- **Introduction:** AI and the empirical toolkit of economics; text, images, and other unstructured data as economic data.
- **Machine-learning basics:** supervised and unsupervised learning, prediction versus inference, and validation.
- **Text as data:** tokenization, document-term representations, and dictionary and classifier approaches.
- **Embeddings:** Word2Vec, sentence embeddings, similarity, and clustering for measurement.
- **Transformers:** contextual embeddings, self-attention (queries, keys, and values), and masked-language-model training (BERT).
- **ML and econometrics:** using machine-learned measures in downstream regressions; measurement error and inference.
- **Hands-on:** computing embeddings and similarity on an economic text corpus in Python.

Session 2: Friday 20 November, 09:00–13:00

Large language models in economic research

- **LLMs and alignment:** pretraining, instruction tuning, and preference alignment; what this means for research use.
- **LLMs as measurement tools:** zero- and few-shot labelling, prompt design, validation against human labels, and reproducibility.
- **Working with AI agents:** coding agents for data collection, cleaning, and analysis; agentic research workflows and their failure modes.
- **Software development with AI:** building research tools and pipelines with AI assistance.
- **Hands-on:** labelling a sample of documents with an LLM API, validating a subset by hand, inspecting disagreements, and using the labels in a substantive comparison.
- **Wrap-up:** open questions and discussion.

Materials

Slides and notebooks adapted from the Zurich Summer School in AI & Applied Economics (2026): https://zrh-ai-econ.com